

Assignment 2 - Developing a Pricing Structure Foundations & Developing a Pricing Structure - Packages and Negotiation
A practical written task to calculate a fair price, build service packages, and respond to a pricing objection.

Session	Session 2: Developing a Pricing Structure Foundations & Developing a Pricing Structure - Packages and Negotiation	Assignment Type	Individual Written Task
Assignment Title	Freelance Pricing and Negotiation Plan	Total Marks	20
Submission Format	Written document only - no audio or video	Suggested Length	1-2 pages
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Assignment Brief
One Practical Assignment

Use the freelance service you selected in Assignment 1, or choose one realistic service. Create one written Pricing and Negotiation Plan for a client who wants to hire you.

- Estimate the required time, effort, business costs, and profit, then select and justify an appropriate pricing model.
- Create Basic, Standard, and Premium packages with clear deliverables, timeline, revision limits, and prices.
- Write a professional response to a client who says: "Your price is too high. Can you reduce it?" Protect your value and offer a suitable option.

Required Written Submission

Final Output	- Pricing calculation and selected pricing model with a short justification. - Three service packages: Basic, Standard, and Premium. - Pricing-objection response of 80-120 words.
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Evaluation Rubric - 20 Marks

Criteria	Marks	What the trainer will check
Price calculation and model	5	Price considers time, effort, costs, profit, and uses a suitable pricing model.
Package structure	5	Packages show clear differences in deliverables, timeline, revisions, and price.
Negotiation response	5	Response is confident, professional, value-focused, and offers a reasonable option without weakening the service.
Formatting and language	5	Submission is clear, organized, readable, and professionally written.

Submission note: The assignment must be completed in writing only. Do not submit voice notes, videos, or presentation recordings.

1. Pricing Calculation & Selected Model Justification

1.1 Comprehensive Cost, Time, Effort & Profit Breakdown

To construct a sustainable and commercially viable freelance pricing strategy for Custom Computer Vision & AI Prototype Development, a full breakdown of estimated direct time, indirect business expenses, non-billable effort, and targeted profit margin was performed.

- ❖ **Direct Project Execution Time (Billable):** 25 Hours. Includes client consultations, architecture design, dataset processing, model training/fine-tuning (YOLOv8 / MobileNetV2), FastAPI endpoint development, testing, and documentation.
- ❖ **Client Communication & Admin Time:** 8 Hours. Covers initial discovery calls, proposal writing, code review meetings, revision cycles, and deployment handoff support.
- ❖ **Target Hourly Baseline Rate:** \$40/hour. Reflects specialized competence in deep learning frameworks (TensorFlow, Keras, PyTorch, FastAPI) and deployment workflows.
- ❖ **Base Labor Cost per Project:** \$1,000 (25 Billable Hours × \$40/hr).

Direct Business Overhead & Infrastructure Costs

AI development requires specialized hardware and cloud infrastructure. Business overhead is allocated proportionally on a per-project basis:

- ❖ **Cloud Compute & GPU Acceleration (Google Colab Pro+ / AWS EC2 g4dn):** \$35 per project.
- ❖ **Software Licenses & API Tooling (GitHub Copilot, Postman, Dataset Annotation Tools):** \$15 per project.
- ❖ **Hardware Depreciation & Internet Overhead (High-performance GPU laptop, fiber internet):** \$25 per project.
- ❖ **Total Direct Business Overhead:** \$75 per project.

Profit Margin & Risk Premium Buffer

Freelancing requires an explicit profit margin beyond base labor rates to fund business growth, mitigate project complexity risks, and offset non-billable administrative hours.

- ❖ **Total Operating Cost:** \$250 (Labor) + \$75 (Overhead) = \$325.
- ❖ **Target Profit Margin:** 25% of total operating costs ($\$325 \times 0.25 = \81.25).
- ❖ **Scope Risk Buffer:** 10% (\$32.50) to cover scope variations, hyperparameter tuning delays, or dataset re-labeling friction.
- ❖ **Calculated Baseline Standard Project Value:** \$250 (Labor) + \$75 (Overhead) + \$81.25 (Profit) + \$32.50 (Risk Buffer) = \$438.75 (Rounded to \$450 for the Standard Package).

1.2 Selected Pricing Model & Professional Justification

Selected Pricing Model: Fixed-Price Package / Value-Based Tiered Pricing

For early-stage technology startups and digital product development teams, the Fixed-Price Package model (structured into tiered value scopes) is selected over standard hourly billing for the following strategic reasons:

- ❖ **1. Client Budget Certainty:** Startups operating on seed or angel funding require absolute budget predictability before committing to software engineering engagements. Hourly billing creates friction and anxiety over open-ended costs.
- ❖ **2. Outcome-Focused Alignment:** Clients care about receiving a functional, integrated AI API or prototype, not how many hours were spent setting up environment dependencies or tuning epoch hyperparameters. Fixed pricing ties payment directly to tangible business outcomes.
- ❖ **3. Efficiency Reward:** Hourly billing penalizes expertise and rapid execution. As development pipelines, pre-built neural network boilerplate, and transfer learning workflows become more efficient, charging fixed rates rewards speed and proficiency rather than slow work.

2. Service Package Structure (Basic, Standard, Premium)

To cater to client teams at different stages of product maturity and budget availability, three clearly differentiated packages are established. Each tier defines explicit deliverables, turn-around timelines, revision caps, and non-negotiable scope boundaries based on the \$10/hour baseline foundation.

Feature / Dimension	Basic Tier (Proof of Concept)	Standard Tier (Production API)	Premium Tier (Full AI Product Stack)
Target Client Need	Early validation of a computer vision concept for investors or internal testing.	Integrating a trained AI model into an existing backend as a production REST API.	End-to-end custom AI development with interactive dashboard and deployment.
Core Deliverables	• Model setup & baseline transfer learning (MobileNetV2 / ResNet50) • Up to 2 target classes • Standard accuracy report (Confusion Matrix, Precision/Recall) • Raw weight file (.h5 / .onnx)	• Custom object detection or classification (YOLOv8 / ResNet) • Up to 5 target classes • Production-ready FastAPI backend • Docker container & OpenAPI docs • Inference benchmarking	• Multi-class custom vision pipeline (Up to 10 classes) • Production FastAPI backend • Interactive Streamlit / NiceGUI dashboard UI • Full cloud deployment (AWS/GCP) • Technical documentation & training
Turnaround Timeline	5 Business Days	10 Business Days	20 Business Days
Revision Limit	1 Round of minor adjustments (within original scope)	2 Rounds of refinements (model performance / API tuning)	3 Rounds of revisions (UI polish, model tuning, deployment)
Fixed Price	\$200	\$450	\$900

3. Pricing-Objection & Negotiation Response Strategy

3.1 Negotiation Strategy & Value Protection Framework

When a prospective client states, “Your price is too high. Can you reduce it?”, submitting to an immediate price cut without altering the scope destroys professional credibility and signals that initial pricing was artificially inflated. The value protection strategy follows four steps:

- ❖ **1. Validate & Reframe:** Acknowledge the client's budget constraints with empathy while maintaining professional confidence.
- ❖ **2. Reinforce Value:** Reiterate the specific technical outcome and commercial risk reduction provided by a fully production-ready AI pipeline.
- ❖ **3. Scope Trade-Off:** Maintain the integrity of rates by offering scope adjustment rather than discounting labor.
- ❖ **4. Actionable Alternative:** Offer an immediate alternative that fits their current budget without compromising execution quality.

3.2 Professional Client Response (80–120 Words)

"I completely understand that managing budget constraints is crucial for your startup right now. My \$450 rate for the Standard Package reflects a fully optimized, production-ready YOLOv8 object detection model integrated into a containerized FastAPI backend, ensuring your engineering team can deploy immediately without post-launch troubleshooting.

If your current budget is tighter, we can start with the Basic Package at \$200. This delivers a core proof-of-concept vision model and accuracy benchmarks so you can validate performance with stakeholders first. Once validated, we can upgrade to full API integration. Would this approach better align with your current milestone?"

4. Alignment Matrix with Assignment 1 & Service Strategy

This Pricing and Negotiation Plan directly extends the service foundation established in Assignment 1. The table below illustrates how each assignment element aligns perfectly to create a unified freelance commercial strategy:

Assignment 1 Component	Assignment 2 Application	Strategic Alignment Rationale
Service Offering: Custom Computer Vision & AI Prototype Development	Packaged into structured, fixed-price tiers (Basic \$200, Standard \$450, Premium \$900).	Transforms abstract machine learning technical skills into well-defined, purchasable digital products.
Target Client: Early-Stage Tech Startups & Product Teams	Fixed-price packages and highly accessible entry points (\$200 POC).	Directly addresses startup funding limits, eliminating cost uncertainty and enabling milestone-based adoption.
30-Day Freelance Goal: Secure & deliver first paid micro-project / AI proof-of-concept	Basic Package (\$200, 5-day turnaround) tailored precisely for rapid micro-project execution.	Enables immediate landing of the first client, establishing portfolio proof and generating a verified testimonial.